

PUSHING THROUGH THE PAIN

WITH SUBSIDIARIES BLEEDING AND FUNDING GETTING TOUGHER TO COME BY, BYJU'S FACES A CRITICAL POINT IN ITS JOURNEY

BY BINU PAUL

THE BIGGEST COST in the edtech business is marketing. BYJU'S is always in the news, for good or bad reasons, which in a way is helping them to be relevant in media. They shouldn't be spending too much on marketing," an edtech founder tells *Business Today* on condition of anonymity. The acid-dripping joke is a pointer to the heavy visibility of BYJU'S in the media—both in paid advertisements and organically, which has been mostly bad news in recent times. In the past three months, BYJU'S is believed to have laid off 2,000-2,500 employees across group companies; however, the official figure is less than 500. The company also appears to be struggling to meet funding requirements.

To be fair, it isn't BYJU'S alone that is in the news for the wrong reasons. Start-ups across the edtech spectrum are moderating marketing spends and salaries as funding becomes harder to come by and investors start looking at the path to profitability more closely. Lay-offs are the order of the day—nearly 6,000 pink slips have been handed out by the likes of BYJU'S, Vedantu, Unacademy and Lido Learning, among others, since January 2022. Salary cuts and other austerity measures have also

started to rain in at these edtech companies. Krishna Kumar, Founder & CEO of edtech Simplilearn, says the sector will grow stronger as demand for digital will only increase, but a lot of moderation will need to happen. For example, hiring people at 100 per cent hike in salaries will get corrected now, he says. "Advertising has gone completely crazy, most IPL advertisers were tech companies. This will also moderate significantly now," he says.

Even as the entire edtech sector struggles, BYJU'S being the 800-pound gorilla is simply more visible than the others. But here's the thing. The core K12 business of BYJU'S—sale of education tablets and SD cards, tuition fee, sale of reference books—is profitable. Where it bleeds is in its subsidiaries. So, no surprise that the majority of pink slips handed out were in its subsidiaries, which begs a question about its acquisition overdrive.

In 2021 alone, BYJU'S completely acquired 10 edtech companies for a combined transaction value of \$2.5 billion, as per a GlobalData report. The acquisition of tutorial chain Aakash Educational Services itself was just \$50 million shy of a billion dollars. In August 2020, it acquired WhiteHat Jr, which teaches coding skills to kids, for \$300 million. According to people *BT* spoke to, approximately 400-500 employees were sacked from WhiteHat Jr